TechWithTop

Helping SMEs work smarter with technology

RESEARCH BRIEF

The Hidden Administrative Work Behind SME Invoicing

TechWithTop Research | September 2026

Research focus: Invoice processing, operational workflows and business system integration.

The research finding

Many UK SMEs already use digital tools for invoicing, but structured electronic invoicing remains less widely adopted.

Research commissioned by HM Revenue & Customs and published on 26 March 2026 surveyed 800 VAT-registered UK SMEs. It found that:

- 29% reported using electronic invoicing.
- PDF and email remained the most common methods of sending and receiving invoices.
- Accounting software was already widely used among respondents.

The study defined electronic invoicing as exchanging invoices in structured formats that support automatic processing. Sending a PDF by email does not, by itself, meet that definition.

The research therefore highlights an important distinction: having digital records is not necessarily the same as having an integrated financial workflow.

Where manual work may remain

Consider a field-service company completing maintenance work.

A customer requests a quotation. An employee prepares the quote, schedules the job and records the engineer's work. Once completed, another person may need to prepare the invoice, verify job details and update the accounting system.

Where these steps are disconnected, staff may have to enter the same information repeatedly.

Hospitality suppliers face a similar potential challenge when coordinating orders, dispatch confirmations, delivery records and invoices.

These examples illustrate workflows worth investigating. They are not findings that every company operates this way.

What should businesses investigate?

Before purchasing new software, owners and operations managers should examine:

1. How many systems are involved between completing a job and receiving payment?

2. Which information is entered more than once?
3. How are invoice discrepancies identified and resolved?
4. How much staff time is spent preparing, checking and chasing invoices?
5. Can existing systems be integrated without replacing them?

Where technology may provide value

Depending on the business, improvements could include automated invoice creation from completed jobs, accounting integrations, digital approval workflows, payment-status dashboards and exception alerts.

However, custom software is only justified where the expected benefits outweigh development, integration and maintenance costs.

TechWithTop research conclusion

The most useful question for an SME is not simply whether it uses accounting software.

It is whether the full operational process, from customer enquiry or order through to payment, works efficiently.

At TechWithTop, we examine these handoffs to identify where process improvements, integrations or focused software solutions may deliver measurable value.

Research methodology: Secondary analysis of published UK research, combined with illustrative workflow scenarios. No company-specific operational findings are asserted.

Sources

HMRC, *Electronic invoicing: Quantitative research into small and medium-sized enterprises' usage and attitudes*, published March 2026. Survey fieldwork took place February to March 2025.
https://www.gov.uk/government/publications/electronic-invoicing-sme-usage-and-attitudes